Chapter 18

Answers & Explanations to Practice Exam 1

Congratulations! If you've reached this point, you've completed the first SIE practice exam. (If you haven't, flip back and take the test in Chapter 17. You don't want to spoil all the surprises, do you?) You should stop here and review your answers.

Review, review, review. And if I haven't mentioned this yet, reviewing is definitely a good idea. Look at the questions you had problems with, retake all the questions you got wrong, and make sure you get them right the second (or third) time around. If you're short on time but just can't wait to see how you fared, you can check out the abbreviated answer key (without the explanations) at the end of this chapter. I explain how the SIE is scored in the section "Making the Grade," just before the answer key. But I strongly suggest you come back later and — you guessed it — review.

Wait at least several days to a week before taking the same test again. Retaking the test won't help your cause if you're just memorizing the answers.

1. **A.** (Chapter 6) Common stockholders have equity (ownership) positions, as do preferred stockholders. However, bondholders are creditors, not owners.
2. **C.** (Chapter 6) Common stockholders of PXPX Corporation — or, for that matter, any publicly traded corporation — have a residual

claim to the assets of the corporation at dissolution. PXPX Corp. common stockholders are entitled to receive a report containing audited financial statements on a yearly, not weekly, basis. Finally, PXPX Corp. stockholders never get to vote on dividends to be paid (whether stock or cash); dividends are decided by the board of directors.

3. **B.** (Chapter 8) In order to determine the best investment for Jake, you must do a tax-equivalent yield (TEY) calculation. To accomplish this, you need to know Jake's tax bracket. Remember, the interest received from municipal bond investments is tax-free, and investors in higher tax brackets save more money by investing in municipal bonds when compared to other investments. The SIE examiners are testing you to make sure you know that the other items listed here are not relevant to the question.
4. **C.** (Chapter 11) For an investor to profit when holding a long call, the investor has to exercise the option when the market price is above the strike (exercise) price plus the premium paid.
5. **D.** (Chapter 10) For this question, you can stop at the point where the investor has limited resources. Typically, DPPs such as oil and gas developmental programs require a large initial investment and a certain liquid net worth. A DPP would definitely not be right for this client.
6. **D.** (Chapter 5) When a company decides to go public, it must file a registration statement with the SEC. The registration statement must include
   1. The issuer's name and a description of its business
   2. The names and addresses of all of the issuer's control persons (in other words, officers, directors, and investors owning 10 percent or more of the issuer's securities)
   3. What the money raised will be used for
   4. The capitalization of the issuer
   5. Complete financial statements
   6. Whether there are any legal proceedings against the issuer
7. **D.** (Chapter 5) The securities listed in this question are all nonexempt, meaning that they all have to register with the SEC. The

Securities Act of 1933 requires all new nonexempt issues of securities sold to the public to be registered. In general, exempt issues include municipal securities, U.S. government securities, bank issues, private placements, intrastate offerings, and securities issued by nonprofit organizations.

8. **D.** (Chapter 16) A confirmation sent to a customer must disclose the amount of markup or markdown charged for a principal transaction in a NASDAQ security, whether the member acted in an agency or a principal capacity, and, if the member acted as an agent, the amount of commission.
9. **C.** (Chapter 9) Open-end and closed-end funds are considered management companies because they have actively managed portfolios and are defined as such according to the Investment Company Act of 1940. Because face-amount certificate companies and unit trusts do not have actively managed portfolios, they're not considered management companies and have their own classification.
10. **A.** (Chapter 15) Qualified plans under IRS laws allow investors to invest money for retirement with *pre-tax dollars* (you can write qualified plan contributions off on your taxes). In addition, earnings accumulate on a *tax-deferred* basis (the investor isn't taxed until withdrawal). However, distributions (tax-deferred earnings and contributions) for which the participant receives a tax deduction are 100 percent taxable.
11. **D.** (Chapter 9) Tricky, tricky … the examiners want to make sure you know that a variable annuity is derived from two separate products: an insurance contract and securities held in a separate account. Consequently, a variable annuity must be registered with the State Insurance Commission (for the insurance contract) and the Securities and Exchange Commission (for the securities held in the separate account).
12. **B.** (Chapter 16) The customer's signature is not required on a trade confirmation. However, the customer's account number, the registered rep's ID number, the trade date, whether the customer bought or sold, the number of shares or par value of bonds, the yield (if bonds), the CUSIP number, the price of the security, the to-

tal amount paid, the commission (if on an agency basis), and the net amount are all required on the confirmation.

13. **D.** (Chapter 12) The Telephone Act of 1991 is designed to set standards for individuals soliciting business. All the choices listed are included in the act.
14. **A.** (Chapter 16) If a registered representative believes that a customer is making an unsuitable trade, the representative may enter the order but must mark the order ticket "unsolicited." In this question, the client is making a trade that you believe is unsuitable for her, but you can still execute the trade as long as you mark the order ticket as "unsolicited," which will protect you and make your client happy.
15. **D.** (Chapter 16) The Bank Secrecy Act establishes the U.S. Treasury Department as the regulator of anti-money-laundering programs. As such, all broker-dealers are required to have programs set up to help detect the possibility of money laundering. Broker-dealers must also review the OFAC's (Office of Foreign Asset Control's) SDN (Specially Designated Nationals) list to determine that they're not doing business with organizations or individuals who are on the list.
16. **A.** (Chapter 9) Life-cycle funds are actually funds of funds, which are based on an investor's age. Investors buy a life-cycle fund designed for people their age. Life-cycle funds adjust their holdings every so often so that investors are taking less risk as they get older. Because younger investors can afford to take more risk, a larger percentage of their portfolio is in equities and less is in fixed-income securities. As investors get older, they should have an increasing number of fixed-income securities and less equity securities. Life-cycle funds automatically take care of that for investors.
17. **B.** (Chapter 16) The *ex-date* or *ex-dividend date* is one business day before the record date and is the date that the buyer would be purchasing the stock without a dividend. On the ex-date, the stock is *reduced* by the amount of the dividend. The corporation is still responsible for paying the dividend, and because the buyer isn't entitled to it, the seller is.

18. **D.** (Chapter 13) Investors in foreign securities face all the risks listed along with a few others, depending on the type of securities held. Political (legislative) risk is the risk that the value of a security may suffer due to instability or political changes in a country. Currency risk is the risk that the value of an investment may be affected due to a change in exchange rates. Regulatory risk is the risk that legislative changes may affect the market.
19. **D.** (Chapter 8) Factors that affect the marketability (how easy it is to buy and sell) of municipal GO (general obligation) bonds are the quality, maturity date, call features, coupon rate, block size, dollar price, issuer's name, sinking fund, and credit enhancements (in other words, insurance).
20. **B.** (Chapter 12) You will find that this is not an unusual situation. When you're opening an account for a new customer, the customer may not feel comfortable sharing all her financial information with you. However, you can still do trading in the account and make recommendations if you can determine financial information from other sources, such as D&B cards. Say, for example, that the D&B card says that the customer is the CEO of a corporation that made $5 billion last year. You can assume the customer has a lot of money. The recommendations you make to a customer should be suitable to her investment objectives and financial situation. If you can't determine the information from other sources, you can still make trades and recommendations that would be suitable for all investors, such as mutual funds or U.S. government securities.
21. **B.** (Chapter 5) A preliminary prospectus includes the purpose for the funds and financial statements. Because a preliminary prospectus (red herring) is printed before the final price is established, it may include a projected price range that is subject to change.
22. **C.** (Chapter 5) Certain purchases, such as a Regulation D private placement, may require investors to be accredited (although they have a 35 unaccredited investor exclusion). Accredited investors are ones with a net worth of at least $1 million excluding any equity they may have in their primary residence, or ones with an annual income of at least $200,000 (or $300,000 for joint accounts) for

the last two (not three) years that's expected to stay at least the same for the current year.

23. **B.** (Chapter 16) The SEC and FINRA require member firms to send customer account statements at least quarterly (once every three months) for inactive accounts. To help you remember how often account statements should be sent out, think "AIM":
    1. A = Active account (monthly)
    2. I = Inactive account (quarterly)
    3. M = Mutual fund (semi-annually)
24. **C.** (Chapter 10) Hybrid REITs (real-estate investment trusts) trade on an exchange, provide mortgage loans to developers, and hold a portfolio of securities. Hybrid REITs are a combination of equity (ownership) and mortgage REITs.
25. **D.** (Chapter 12) When a corporation opens a margin account, the corporation has to provide a corporate charter, which needs to say that the corporation can buy securities on margin, and a corporate resolution, which says who has the trading authority for the account. A new account form is always needed for any type of account. The corporation also needs a hypothecation agreement, which allows the broker-dealer to hold the securities in street name so that they can be used as collateral for a loan. In addition, the corporation needs a credit agreement, which sets the terms for the loan.
26. **A.** (Chapter 10) The certificate of limited partnership is the legal agreement between the general and limited partners and is the only partnership paperwork that needs to be filed with the secretary of state. The certificate of limited partnership includes the primary place of business, the names and addresses of the limited and general partner(s), the objectives of the partnership, the amount contributed by each partner, the roles of the partners, and so on.
27. **A.** (Chapter 12) Certainly, any information you can get about your client will help you set up a portfolio that fits the client's needs. However, because Martina's primary investment objective is making sure that she's prepared for retirement, you need to begin by

looking at her age. Someone who is younger can take more risk than someone who is older.

28. **D.** (Chapter 16) Pursuant to Conduct Rules (not the SEC), registered representatives may never guarantee a customer against losses; therefore, this action is never permitted. If the investor wanted to sell the shares, he would have to sell them at the bid price of $12.40, not $15.
29. **D.** (Chapter 7) The expression "quality over quantity" applies here. Rating services are concerned with quality, defined as the issuer's (or guarantor's) default risk or ability to pay interest and principal on time. The two biggest rating services are Moody's and Standard & Poor's. The highest ratings for these rating services are Aaa and AAA, respectively.
30. **D.** (Chapter 16) All order tickets need to include the items listed in the question plus the customer's account number; the number of shares or bonds being purchased or sold; whether the customer is buying, selling, or selling short; whether the customer is covered or uncovered (option orders); and whether it's a market order, good-till-canceled, and so on.
31. **C.** (Chapter 8) Because municipal securities are exempt from SEC registration, they're not subject to the FINRA 5 percent markup policy.
32. **C.** (Chapter 6) Cumulative voting allows shareholders to aggregate (combine) their votes and vote for whomever they please. For argument's sake, if an investor owned 1,000 common shares and there were four members of the board of directors open for vote, the investor could use all of the 4,000 votes (1,000 shares × 4 members) for a single candidate, if desired. Cumulative voting can be used to make it easier for smaller shareholders to gain representation on the board of directors.
33. **D.** (Chapter 6) The purpose of ADRs (American Depositary Receipts) is to facilitate the trading of foreign securities in U.S. markets. ADRs carry currency risk because distributions on ADRs must be converted from foreign currency to U.S. dollars on the date of distribution. The trading price of the ADR is actually quite affected by cur-

rency fluctuation, which can devalue any dividends and/or the value of the stock.

34. **D.** (Chapter 16) After receiving Keith's written complaint, the municipal securities broker-dealer must accept the complaint and write down any action taken to resolve the complaint. All broker-dealers should keep a complaint file for each customer and keep accurate records of any communications or actions taken regarding a complaint.
35. **D.** (Chapter 12) No rules prohibit opening an account registered as joint tenants with rights of survivorship (JTWROS) for two unmarried persons. The registered representative should, however, take all steps to be sure that the unmarried individuals understand the resulting consequences should one party to the account die. For example, in an account registered JTWROS, if one of the engaged parties to the account (for example, John Dow) dies, the deceased party's ownership interest in the account passes to the surviving tenant (Jane Dough) rather than to the deceased party's (John Dow's) estate.
36. **D.** (Chapter 12) Under the terms of the Uniform Gifts to Minors Act, the account must be handed over to the new adult when a minor reaches the age of majority. You don't need to know the age of majority because it varies from state to state, but it's usually between the ages of 18 and 21.
37. **C.** (Chapter 12) A day-trading account requires an initial margin of $25,000, and the investor must keep $25,000 minimum equity in the account to keep trading. A portfolio margin account is relatively new and looks at the risk of the portfolio as a whole to determine the margin requirement. Only certain investors are able to take advantage of portfolio margin because it requires a certain degree of sophistication and a minimum equity of around $150,000.
38. **A.** (Chapter 11) Because of the additional risk involved when investing in options, such as the ability to lose all money invested or facing unlimited maximum loss, all investors must receive an ODD (options risk disclosure document) prior to the first transaction. The ODD is not an advertisement; it contains the pitfalls of invest-

ing in options. After the customer receives the ODD, the ROP (registered options principal) has to approve the account. Next, you can do the trade, and after that, the customer has to sign and return an OAA (options account agreement).

39. **D.** (Chapter 16) The 5 percent markup policy is a guideline for broker-dealers to use when executing trades of outstanding securities for public customers. In most cases, for a standard-sized trade of nonexempt securities, broker-dealers should not charge a commission, markup, or markdown that is in excess of 5 percent. The 5 percent policy applies to both commission charges on agency transactions and to markups and markdowns on principal transactions, including riskless and simultaneous transactions.
40. **B.** (Chapter 14) Remember that stop orders are used for protection. Because Skippy owns the stock, he would have to enter a sell stop order below the market price of the security. In the event that the price of the stock hits or drops below the stop price, the order would be triggered and the stock would be sold on the next transaction.
41. **B.** (Chapter 10) As with most other investment company products, REITs have a professionally managed portfolio. Many investors use REITs as a potential hedge against a downturn in the market because often there is an inverse relationship between the real-estate market and stock prices. In addition, REITs typically have a high degree of liquidity. However, there is no preferential dividend treatment for REITs.
42. **A.** (Chapter 8) The official statement for a municipal bond issue is similar to a prospectus for a corporate issue. The items that you find on an official statement include the offering terms, the underwriting spread, a description of the bonds, a description of the issuer, the offering price, the coupon rate, the feasibility statement, and the legal opinion.
43. **B.** (Chapter 9) When an investor of a variable annuity starts withdrawing money from the annuity, the accumulation units are converted into a fixed number of annuity units. However, the value of

the annuity units varies based on the performance of the securities held in the separate account.

44. **C.** (Chapter 10) Because direct participation programs (limited partnerships) may require limited partners to come up with additional cash beyond their initial investment, investors must provide a written verification of net worth. After the general partner signs the subscription agreement, the investor is accepted as a limited partner.
45. **D.** (Chapter 13) The Federal Reserve Board was established in 1913 to stabilize the country's chaotic financial system. It performs all the services listed in Choices (A), (B), and (C), in addition to other duties it performs; therefore, Choice (D) is correct.
46. **A.** (Chapter 12) Here's that EXCEPT question type again! You're looking for a false answer here. Although a custodian may open an account with an agent for a minor, a designated officer may open a corporate account with an agent, and a designated partner may open a partnership account with an agent, an agent is not permitted to open an individual account in the name of a third person. This means that Choice (A) is the correct false answer that you're looking for.
47. **C.** (Chapter 14) First market is listed securities trading on an exchange. Second market is unlisted securities trading OTC (over-the-counter). Third market is listed securities trading OTC. Fourth market is institutional trading without using a broker-dealer.
48. **D.** (Chapter 16) Under the Investment Company Act of 1940, mutual funds must provide semiannual reports to shareholders. To help you remember how often account statements should be sent out, think "AIM":

    A = Active account (monthly)

    I = Inactive account (quarterly)

    M = Mutual fund (semiannually)
49. **B.** (Chapter 16) Selling dividends is a violation in which a registered representative entices an investor to purchase a security in time to receive a previously declared dividend. Remember, there is no advantage to purchasing a security prior to the ex-dividend date (the

first day the security trades without a dividend) because the price of the stock is reduced by the amount of the dividend on the ex-dividend date. Therefore, even though a customer might receive a $0.50 dividend, the price of the stock is reduced by $0.50, so there's no advantage.

50. **A.** (Chapter 16) The Bank Secrecy Act establishes the U.S. Treasury Department as the regulator for anti-money-laundering programs. All broker-dealers are required to develop programs to detect possible money-laundering abuses.
51. **C.** (Chapter 10) Real estate DPPs (direct participation programs — limited partnerships) provide advantages for investors such as depreciation deductions, appreciation potential, and cash flow, but not depletion. Depletion only applies to partnerships that deal in natural resources that can be depleted (used up), such as oil or gas.
52. **B.** (Chapter 13) In this question, if the GDP (gross domestic product) is declining, business is slowing down and possibly heading toward a recession, and the Fed would want to stimulate the economy by making more money available. Increasing the money supply through lower interest rates usually increases business activity. However, when there are declining yields and interest rates, and rising house prices, there is a danger of increased inflation if the Fed increases (eases) the money supply.
53. **A.** (Chapter 16) The FDIC (Federal Deposit Insurance Corporation) provides depositors insurance against failed (bankrupt) banks for up to $250,000. SIPC protects investors from broker-dealer failure up to $500,000, of which no more than $250,000 can be cash.
54. **D.** (Chapter 8) Because the investor bought 50 of each bond, they were all rated AA, and they mature around the same time, you can rule out maturity, quality, and quantity as your answers. The investor's funds are an example of geographic diversification because the bonds are from a variety of issuers around the United States.
55. **A.** (Chapter 11) To hedge means to protect. If the investor would like to hedge his position, he should buy a call on XYZ. Remember that the investor is short the stock and must buy XYZ back at some

point to close his short position. Buying an XYZ call gives the investor the right to buy back XYZ at a fixed price, which would allow the investor to protect the position and not face an unlimited maximum loss potential.

56. **A.** (Chapter 15) Options are always taxed as capital gains or capital losses. This investor purchased an option that expired worthless, and, therefore, he lost money. Because the investor held the option for nine months (the typical expiration for an equity option), it's taxed as a short-term capital loss because it was held for one year or less.
57. **C.** (Chapter 16) Without having discretionary authority, registered representatives may not decide on whether to buy or sell, the security to purchase or sell, or the number of shares or dollar amount to purchase for the customer. Registered representatives may, however, without written power of attorney, choose the price or timing of an order.
58. **D.** (Chapter 5) You must distinguish a nonexempt security from an exempt security. A nonexempt security is one that is not exempt from SEC registration; in other words, it must be registered with the SEC. Variable annuities, which carry investment risk, are nonexempt securities under the Securities Act of 1933 and must be registered before public sale. Similarly, unit trusts and mutual funds are nonexempt even though the underlying securities may be exempt, such as municipals and U.S. government securities. However, a fixed annuity is an insurance product exempt from registration with the SEC. It's not considered a security because of the guaranteed payout.
59. **B.** (Chapter 9) A specialized or sector fund invests a minimum of 25 percent of its assets in a particular region or industry and would be the most suitable for Buddy.
60. **D.** (Chapter 10) Intangible drilling costs (IDCs), the costs involved in actually getting to the oil, provide a tax benefit to investors of an oil and gas exploratory (wildcatting) program. IDCs are items such as labor and surveys. IDCs are deductible expenses in the year in which they occur.

61. **D.** (Chapter 13) If you look at the answer choices carefully, you'll see that Choices (A) and (D) are opposite, which tells you that one of them has to be true. When the U.S. dollar loses value compared to a foreign currency, U.S exports increase because foreign currency strengthens in comparison and now buys more dollars. As a result, U.S. goods are cheaper than normal for foreign consumers.
62. **B.** (Chapter 7) GNMAs (Ginnie Maes) offer no tax advantages to buyers because they are taxed on all levels. However, the interest received on municipal bonds is federally tax-free and sometimes state-tax-free. In addition, retirement plans allow investors to deposit money tax-free (in most cases), and the money grows on a tax-deferred basis. DPPs (direct participation programs) allow for additional write-offs, such as depreciation and depletion, which provide for a cash flow that's greater than the net income.
63. **A.** (Chapter 6) Adjustable (floating rate) preferred stock receives a dividend that adjusts according to prevailing interest rates.
64. **D.** (Chapter 7) The bond indenture (deed of trust) is the legal agreement between the issuer and investors. The bond indenture includes the maturity date, the par value, the coupon rate, any collateral securing the bond, any callable or convertible features, and the name of the trustee.
65. **A.** (Chapter 12) The Legal List is for fiduciaries (a *fiduciary* is someone who can legally make decisions for another investor). Fiduciaries are subject to the "Prudent Investor Rule," which means that they must invest in securities on the state's legal list or, if there isn't one, invest in securities that only a prudent investor would purchase.
66. **D.** (Chapter 10) All the choices listed are important to evaluate for investors of direct participation programs.
67. **C.** (Chapter 15) Withdrawals must begin by April 1 of the year after the investor turns age 70½. At that point, the investor has to take a required minimum distribution (RMD), which can be determined by looking at the IRS's required minimum distribution worksheet.
68. **D.** (Chapter 10) An oil and gas wildcatting (exploratory) program would best suit your client's needs. Oil and gas wildcatting pro-

grams drill in unproven areas and create quite a lot of write-offs in the early years. However, if oil is hit, a wildcatting program will bring in a lot of money.

69. **B.** (Chapter 8) Remember that state governments do not collect ad-valorem (property) taxes. Ad-valorem taxes are assessed by local governments (for example, towns and counties). Generally, state governments receive the most income from income taxes and sales taxes.
70. **D.** (Chapter 16) The SIE examiners may try to trip you up by throwing in an irrelevant answer choice (like the date of maturity) to find out whether you know your MSRB (Municipal Securities Rulemaking Board) rules. MSRB rules require that confirmations include whether the trade was executed on a principal (dealer) or agency basis. The amount of the dealer's markup or markdown on a principal trade does not have to be disclosed, but the commission on an agency trade does need to be disclosed.
71. **C.** (Chapter 16) As you can see, the one common denominator is that all the answer choices have the acronym "FINRA" in them, which tells you that being a FINRA member must be pretty important. The Code of Arbitration is mandatory in member-against-member disputes including a member firm and one of its registered reps. However, FINRA has no jurisdiction over banks or over disputes between nonmembers such as customers or issuers; in cases such as these, the nonmember decides whether to use arbitration or a Code of Procedure hearing to settle a dispute.
72. **D.** (Chapter 15) There are no tax consequences to Duke for converting a bond into shares of common stock. In order for Duke to have a taxable gain or loss, the shares Duke received as a result of his conversion to common stock must be sold.
73. **D**. (Chapter 8) Municipal short-term notes such as RANs (revenue anticipation notes), BANs (bond anticipation notes), TANs (tax anticipation notes), and CLNs (construction loan notes) are used to provide short-term (interim) financing until a permanent, long-term bond issue is floated, until tax receipts increase, or until revenue flows in.

74. **C.** (Chapter 8) You need to be careful in this case because the examiners are asking you for a false statement. The maturity of revenue bonds may be 25 to 30 years, but the facility being built by the income received from the revenue bond issue is usually expected to last a lifetime. Revenue bonds may be issued by interstate authorities, such as tolls, and the debt service (interest and principal) on the bonds is paid from revenue received from the facility backing the bonds. In addition, revenue bonds are not subject to a debt ceiling; general obligation bonds are.
75. **A.** (Chapter 8) The SIE examiners want to make sure you can distinguish funds raised for municipal revenue bonds from those raised for general obligation bonds. Tolls, fees, airports, power plants, water, wastewater, and so forth may all be fund generators that subsidize revenue bonds. Property taxes (ad valorem taxes) support general obligation bonds.

Making the Grade

Here's how the SIE exam is scored:

- You get $1\frac{1}{3}$ points for each correct answer.
- You get zero points for each incorrect answer.

A passing score is 70 percent. To calculate your grade for this exam, multiply the number of correct answers by 1.33 or divide it by 75. Whatever grade you get, make sure you round down, not up. For example, a grade of 71.6 is a 71 percent, not a 72.

REMEMBER The actual test contains ten additional experimental questions that don't count toward your actual score. You can't tell these questions apart from the questions that do count, so you may have to answer a few more questions right to get your 70 percent. Don't sweat it. Simply come prepared, stay focused, and do your best.

Answer Key for Practice Exam 1

1. **A**
2. **C**
3. **B**
4. **C**
5. **D**
6. **D**
7. **D**
8. **D**
9. **C**
10. **A**
11. **D**
12. **B**
13. **D**
14. **A**
15. **D**
16. **A**
17. **B**
18. **D**
19. **D**
20. **B**
21. **B**
22. **C**
23. **B**
24. **C**
25. **D**
26. **A**
27. **A**
28. **D**
29. **D**
30. **D**
31. **C**
32. **C**
33. **D**

34. **D**
35. **D**
36. **D**
37. **C**
38. **A**
39. **D**
40. **B**
41. **B**
42. **A**
43. **B**
44. **C**
45. **D**
46. **A**
47. **C**
48. **D**
49. **B**
50. **A**
51. **C**
52. **B**
53. **A**
54. **D**
55. **A**
56. **A**
57. **C**
58. **D**
59. **B**
60. **D**
61. **D**
62. **B**
63. **A**
64. **D**
65. **A**
66. **D**
67. **C**
68. **D**

69. **B**
70. **D**
71. **C**
72. **D**
73. **D**
74. **C**
75. **A**